

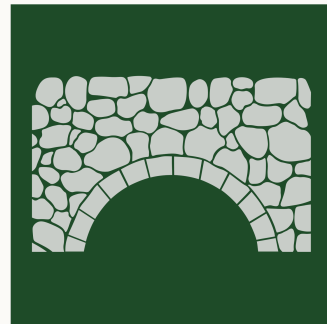
— INVESTMENT PHILOSOPHY

A Guide for Fieldstone Advisory Clients

How we build, manage, and price
disciplined, long-term portfolios — and the
principles that don't change when markets
do.

FEE-ONLY INDEPENDENT INVESTMENT MANAGEMENT

FIELDSTONE



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Executive Summary

Fieldstone Advisory was built around a simple premise: most investors don't need more complexity in their financial lives — they need a manager who applies a disciplined process consistently, over time, and doesn't let short-term noise dictate long-term decisions.

We treat investment management as our primary service. Financial planning isn't a separate offering bolted on beside it; it's the context that makes the portfolio purposeful. We take the time to understand a client's full financial picture so that the portfolio always reflects where they're actually headed, not where the market happened to be last quarter.

As an independent, fee-only firm, our compensation comes directly from our clients. We don't sell products, and we aren't paid differently based on which investments we recommend.

We're also direct about how our fees work. Ongoing portfolio management is priced as an annual advisory fee — this covers continuous stewardship: rebalancing, monitoring, and keeping the plan aligned as a client's circumstances evolve. Clients always know what they're paying for and why.

Our Mission

We combine industry-leading technology and research to inform human decision-making and improve outcomes for investors, based on their needs.

That holds whether the need is personal or generational wealth, institutional management, corporate operations, or something else.

Our Investment Philosophy

We start from the view that markets absorb public information quickly, and that consistently outguessing millions of other participants — through stock picking or market timing — is a poor foundation for building durable wealth. Rather than chase performance, we build around long-term strategic asset allocation: setting deliberate targets across asset classes, geographies, and company sizes, and rebalancing back to those targets as markets move.

A portfolio built this way resembles a cross-section of the global economy — companies large and small, developed and developing markets, equities alongside fixed income — sized to a client's goals, time horizon, and tolerance for risk. We don't build in reaction to headlines, and we don't chase whatever performed best last year. We build deliberately, once, and adjust it as a client's circumstances genuinely change, not as the market's mood changes.

Which asset class leads changes constantly. Of the nine shown below, six finished first at least once in the last ten years, and only once did the same class lead two years in a row. Cash was the best performer in 2018 and the worst in 2016, 2017 and 2019. This is why we set a long-term allocation across all of them instead of trying to pick the next leader.

ANNUAL RETURNS BY ASSET CLASS, 2016-2025

Ranked from best (top) to worst (bottom) each calendar year

2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Small Cap 21.3%	EM Equity 37.8%	Cash 1.8%	Large Cap 31.5%	Small Cap 20.0%	REITs 41.3%	Commodity 16.1%	Large Cap 26.3%	Large Cap 25.0%	EM Equity 34.4%
High Yield 14.3%	DM Equity 25.6%	Fixed Income 0.0%	REITs 28.7%	EM Equity 18.7%	Large Cap 28.7%	Cash 1.5%	DM Equity 18.9%	Small Cap 11.5%	DM Equity 31.9%
Large Cap 12.0%	Large Cap 21.8%	REITs -4.0%	Small Cap 25.5%	Large Cap 18.4%	Commodity 27.1%	High Yield -12.7%	Small Cap 16.9%	High Yield 9.2%	Large Cap 17.9%
Commodity 11.8%	Small Cap 14.6%	High Yield -4.1%	DM Equity 22.7%	DM Equity 8.3%	Small Cap 14.8%	Fixed Income -13.0%	High Yield 14.0%	EM Equity 8.1%	Commodity 15.8%
EM Equity 11.6%	High Yield 10.4%	Large Cap -4.4%	EM Equity 18.9%	Fixed Income 7.5%	DM Equity 11.8%	DM Equity -14.0%	REITs 11.4%	Commodity 5.4%	Small Cap 12.8%
REITs 8.6%	REITs 8.7%	Small Cap -11.0%	High Yield 12.6%	High Yield 7.0%	High Yield 1.0%	Large Cap -18.1%	EM Equity 10.3%	Cash 5.3%	High Yield 12.1%
Fixed Income 2.6%	Fixed Income 3.5%	Commodity -11.2%	Fixed Income 8.7%	Cash 0.5%	Cash 0.0%	EM Equity -19.7%	Fixed Income 5.5%	REITs 4.9%	Fixed Income 7.3%
DM Equity 1.5%	Commodity 1.7%	DM Equity -13.4%	Commodity 7.7%	Commodity -3.1%	Fixed Income -1.5%	Small Cap -20.4%	Cash 5.1%	DM Equity 4.3%	Cash 4.3%
Cash 0.3%	Cash 0.8%	EM Equity -14.2%	Cash 2.2%	REITs -5.1%	EM Equity -2.2%	REITs -24.9%	Commodity -7.9%	Fixed Income 1.3%	REITs 2.3%

Equities Real assets Bonds and cash

Large Cap: S&P 500. Small Cap: Russell 2000. DM Equity: MSCI EAFE. EM Equity: MSCI Emerging Markets. Commodity: Bloomberg Commodity Index. High Yield: Bloomberg Global High Yield Index. Fixed Income: Bloomberg U.S. Aggregate. REITs: NAREIT Equity REIT Index. Cash: Bloomberg 1-3 Month Treasury. Total returns, calendar years.

Source: J.P. Morgan Asset Management, Guide to the Markets – U.S., data as of September 30, 2026 (Bloomberg, FactSet, MSCI, NAREIT, Russell, Standard & Poor's). Past performance is no guarantee of future results. Indexes are unmanaged and cannot be invested in directly. This is not a recommendation or a description of any Fieldstone portfolio.

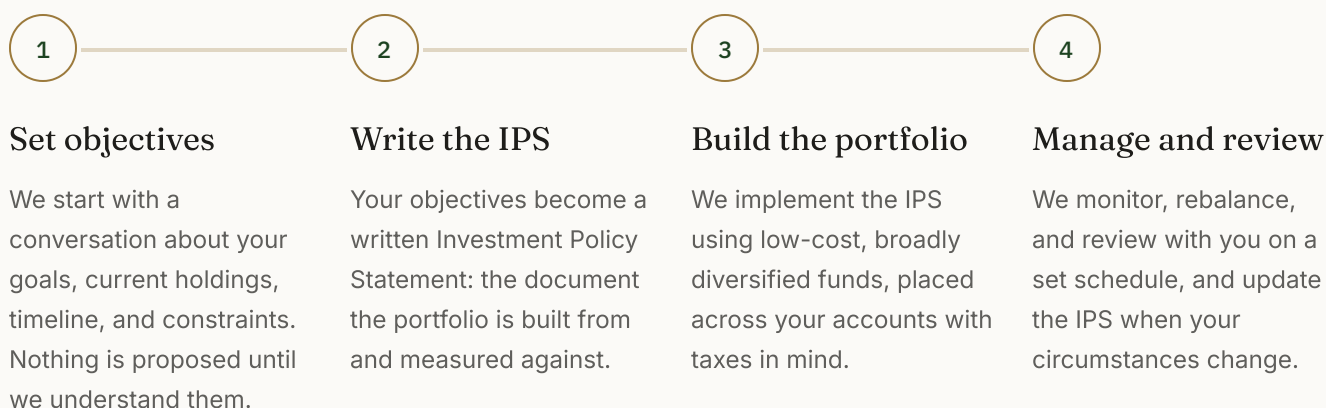
Behavior and the Long-Term Investor

The single largest driver of long-term investment outcomes usually isn't the portfolio itself — it's the investor's own behavior. Research on investor cash flows consistently finds that the average investor's realized returns lag the very funds they're invested in, largely because of poorly timed decisions: buying in after a rally, selling into a downturn, or waiting for a bottom that only looks obvious in hindsight.

Part of our role is helping clients avoid exactly that pattern. A disciplined process is easy to commit to when markets are calm. It's tested during periods of stress — a sharp downturn, an unsettling news cycle, a colleague's story about a stock that tripled. In those moments, our job isn't to predict what happens next; it's to be a steady, informed presence that keeps the plan aligned with a client's actual goals rather than the mood of the moment.

Our Process

Every client relationship follows the same four steps, in the same order. Objectives come first, the written policy second, and the portfolio is built only after both are agreed.



Steps three and four continue for as long as we work together. Step two is revisited whenever your goals or finances change.

Your Investment Policy Statement

The Investment Policy Statement (IPS) is the written record of what your portfolio is for and how it will be run. We prepare it with you before any money is invested. It becomes the standard we build the portfolio against, and the standard we review it against.

01 Purpose of the assets What the money is for, and by when.	02 Time horizon and liquidity When withdrawals begin, and how much needs to stay available as cash.
03 Risk tolerance and capacity How much volatility you can accept, and how much your plan can absorb.	04 Target allocation The long-term mix across asset classes, geographies, and company sizes, with a range around each target.
05 Tax considerations How assets are located across taxable, tax-deferred, and Roth accounts.	06 Restrictions and preferences Holdings to avoid, positions to keep, and any values-based criteria.
07 Rebalancing rules When and how the portfolio is brought back to its targets.	08 Benchmarks and reviews How performance is measured, and how often we meet.

The IPS is a living document. We revisit it on the review schedule and whenever your goals, finances, or circumstances change, and any change is made with you.

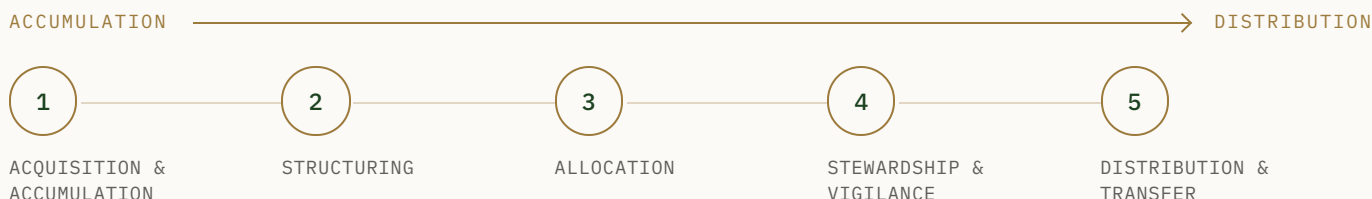
Our Investment Approach

With the IPS in place, we build the portfolio from it. Portfolios at Fieldstone are built primarily using low-cost, broadly diversified funds — vehicles that provide exposure to entire markets or market segments rather than to individual securities. This keeps portfolios transparent, keeps costs low, and preserves flexibility in managing when and how gains are recognized, which matters most for clients in higher tax brackets.

Where it's useful, we complement this core approach with more targeted strategies, or with existing holdings a client brings into the relationship. But every portfolio starts from the same disciplined allocation process, and we'll walk through the specific tools involved as your plan calls for them.

Across the Investment Lifecycle

Our work follows a client's money through five stages, from the first deployment of capital to withdrawal and transfer. The same principles apply at every stage; what changes is the decision in front of you.



STAGE 01

Acquisition & Accumulation

WHAT THIS MEANS

Whenever new capital enters the picture — savings, a bonus, a liquidity event, an inheritance — we determine how and when it should be deployed, with intentional timing rather than a single lump-sum reflex.

WHY IT MATTERS

Rushing new capital into the market — or leaving it sitting in cash out of hesitation — are both common, costly mistakes. The entry decision sets the tone for everything that follows.

STAGE 02

Structuring

WHAT THIS MEANS

Selecting and organizing the accounts that will hold your assets — taxable, tax-deferred, and tax-exempt — with titling and beneficiary designations that match your broader plan.

WHY IT MATTERS

The wrong account for the wrong purpose is one of the most common — and most preventable — costs we see. Structure decided early avoids years of unwinding it later.

STAGE 03

Allocation

WHAT THIS MEANS

Building your portfolio using Fieldstone's Total Portfolio Approach — informed by fundamental analysis and macroeconomic cycles, and matched to your goals, time horizon, and risk tolerance.

WHY IT MATTERS

Chasing individual winners is a distraction from the decision that actually drives results: how your money is divided across asset classes in the first place.

STAGE 04

Stewardship & Vigilance

WHAT THIS MEANS

Ongoing monitoring, disciplined rebalancing, and risk oversight — adjusting proactively as markets move through cycles and as your own life and goals change.

WHY IT MATTERS

Markets shift, life changes, and a portfolio that isn't actively managed slowly drifts from the goals it was built for — often without anyone noticing until it matters.

Distribution & Transfer

Tax-aware withdrawal sequencing as you draw on your portfolio, and coordinated planning for the eventual transfer of wealth to the next generation or a cause you care about.

WHY IT MATTERS

Poor sequencing at withdrawal, or no plan for transfer at all, can undo decades of disciplined accumulation in a handful of avoidable decisions.

The Value of Ongoing Stewardship

It's a fair question to ask what an ongoing advisory fee actually buys, beyond access to a portfolio a client could largely assemble on their own. Markets themselves are unpredictable, and no manager can promise to outperform them consistently. So we focus our effort on what's actually within anyone's control: the structure of the portfolio, its cost, its tax efficiency, and the discipline with which it's maintained over time.

- **Disciplined Asset Allocation** — building and maintaining exposure across the full range of markets, rather than concentrating risk in a handful of familiar names.
- **Cost-Efficient Fund Selection** — favoring low-cost, tax-efficient vehicles that keep more of a portfolio's return in the client's account rather than in fees.
- **Systematic Rebalancing** — periodically resetting the portfolio to its target allocation — managing risk drift and creating ongoing opportunities to buy relatively low and trim relatively high.
- **Tax-Aware Account Placement** — locating asset types across taxable, tax-deferred, and Roth accounts in the way that's most tax-efficient over time.
- **Tax-Loss Harvesting** — realizing losses where appropriate to help offset gains, without disrupting the underlying strategy.
- **Behavioral Guidance** — serving as a steady, informed presence during periods of market stress, so clients stay aligned with their plan rather than reacting to the moment.

WHERE ASSETS TEND TO SIT: ACCOUNT LOCATION

Taxable

TAXED AS IT ARISES

OFTEN HOLDS

Broad stock index funds and ETFs; municipal bonds for higher tax brackets

WHY

Dividends and long-term gains are often taxed at lower rates, gains are deferred until sold, and losses can be harvested.

Tax-deferred

TAXED WHEN WITHDRAWN

OFTEN HOLDS

Taxable bonds, REITs, and other income-heavy or high-turnover holdings

WHY

Income is not taxed each year inside the account.
Withdrawals are taxed as ordinary income.

Roth

TAX-FREE IF QUALIFIED

OFTEN HOLDS

Assets with the highest expected long-term growth

WHY

Growth that is never taxed benefits most from the longest time horizon.

General tendencies, not rules. The right placement depends on a client's tax bracket, account balances, and goals. We coordinate with your tax professional; Fieldstone does not provide tax or legal advice.

Independent research on the value of financial advice broadly has estimated the cumulative benefit of practices like these as meaningful relative to the cost of an advisory fee, though findings vary by study, by market environment, and by client. We view these practices not as an add-on, but as the core of what an ongoing advisory relationship is for.

What You Can Control — and What You Can't

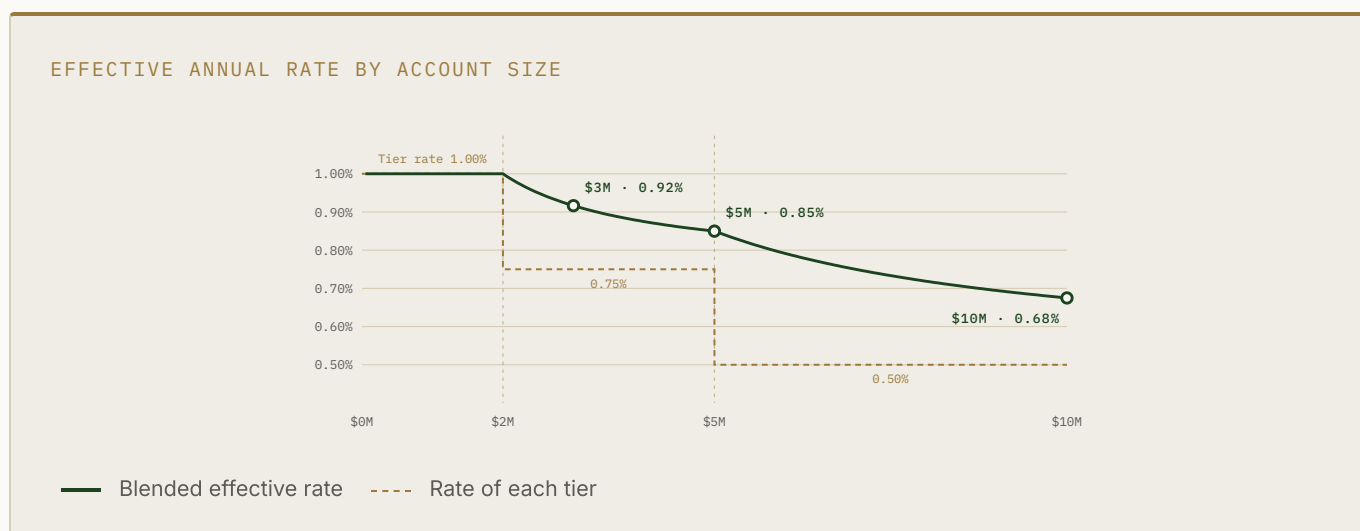
We think this is a more useful lens than trying to predict where markets are headed next. A meaningful body of research suggests that short-term outperformance is difficult to sustain and even harder to predict in advance — managers who try to beat the market through active stock selection or timing frequently underperform their benchmark over long periods. Rather than chase that, we build a plan around what a client can actually influence.

YOU CAN INFLUENCE	YOU CAN'T CONTROL
• Your savings rate and spending • How much you defer into tax-advantaged accounts • How broadly your portfolio is diversified • The cost of investing • How you respond emotionally to markets	◦ Broad market volatility ◦ Interest-rate and policy decisions ◦ Geopolitical and macroeconomic events ◦ What any single stock does in the short term ◦ What a colleague made trading around one stock

Fees for Investment Management

We believe clients should always know exactly what they're paying for. Our annual advisory fee covers the ongoing stewardship of a portfolio: rebalancing, monitoring, and keeping investments aligned with the plan as circumstances change. This fee is tiered by account value on a blended basis, so the effective rate declines as assets grow.

ACCOUNT VALUE	ADVISORY FEE
\$0 – \$2 million	1.00%
\$2 million – \$5 million	0.75%
Above \$5 million	0.50%



Rates are blended by tier: for example, a \$3 million portfolio is billed 1.00% on the first \$2 million and 0.75% on the next \$1 million, for a blended effective rate below either headline number.

Billed monthly in advance. No account minimum. Custodian fees and fund expenses are additional, and sub-advisor fees may apply. See Form ADV Part 2A, Item 5 for details.

Fieldstone Advisory does not provide tax or legal advice. Any discussion of tax considerations in this document is intended to support coordination with a client's own tax and legal professionals, not to replace them.

Getting Started

- 01 **Initial conversation** — we'll talk through your goals, current holdings, and where you're looking for support.
- 02 **Formal engagement** — if it's a fit, we'll put an advisory agreement in place and outline the steps to open or transfer accounts.
- 03 **Implementation** — once accounts are open and funded, we'll build and implement your portfolio and set a schedule for ongoing reviews.



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Fieldstone Advisory

An independent, fee-only portfolio management firm based in Austin, Texas.

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